TEACHER GUIDE

Pearson Edexcel Level 3 Advanced GCE in Business (9BS0)

# Internal and external finance



Theme 2: Managing business activities
**2.1 Raising finance · 2.1.1 Internal finance; 2.1.2 External finance**

A revision lesson. Pupils run a car dealership in firms of four and revise internal and external finance on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same.

## 1 Total to pay back

Round 1

Same interest every year.

**Total to pay back?**

| | |
|---|---|
| Loan | **£45,500** |
| Interest, each year | **3%** |
| Repaid over | **3 years** |

**ANSWER**

**£49,595**

£45,500 + 3 × £1,365 = £49,595

**Why:** The loan costs £4,095 in interest.

## 2 Drawbacks of shares

Round 1

You plan to sell shares to pay for a second site.

**Which two are drawbacks for the owners?**

**A** It raises the firm's gearing
**B** The money must be repaid
**C** Profit shared out as dividends
**D** Interest to pay each month
**E** Less control of the firm

**ANSWER**

**✓ Profit shared out as dividends**
**✓ Less control of the firm**

**Why:** New owners share control and profit; equity has no interest or repayment.

## 3 Rank total interest

Round 2

Three loans, simple interest.

**Order by total interest, cheapest first?**

**A** £15,000 at 10% for 2 years
**B** £20,000 at 6% for 3 years
**C** £30,000 at 4% for 2 years

**ANSWER**

1. **£30,000 at 4% for 2 years**
2. **£15,000 at 10% for 2 years**
3. **£20,000 at 6% for 3 years**

**Why:** Interest: £2,400, £3,000, £3,600.

# Topic tasks

## 4 Loan or shares

Round 2

Loan or new shares?

**Dividends minus loan interest, a year?**

| | |
|---|---|
| Money needed | **£60,000** |
| Loan interest, each year | **9%** |
| Shares sold | **500 shares** |
| Dividend per share | **£20** |

**ANSWER**

**£4,600**

500 × £20 − 9% × £60,000 = £4,600

**Why:** The shares cost £4,600 more each year.

## 5 Buy or lease

Round 3

You need £25,000 of diagnostic kit for two years only.

**How should you get it, and why?**

**A** Lease it

**B** Buy it with a loan

**ANSWER**

✔ **Lease it**

**Why:** Leasing avoids a big outlay for an asset you need only for a while.

## 6 Loan cost with fee

Round 3

Loan with a set-up fee.

**Yearly cost with the fee, as a % of the loan?**

| | |
|---|---|
| Loan | **£26,000** |
| Interest, each year | **8%** |
| Arrangement fee | **£2,080** |
| Repaid over | **4 years** |

**ANSWER**

**10%**

£2,080 ÷ 4 ÷ £26,000 = 2%; 8% + 2% = 10%

**Why:** The fee adds 2% a year to the rate.

# Final questions

Each pupil answers 6 final questions on internal and external finance. They come from these 8 questions.

1. A new used-car retailer needs £80,000 for stock; its owner wants full voting control. Which source fits best?
   ✔ **A secured bank loan, if repayments can be met**

2. A workshop needs a vehicle lift for five years, with predictable payments and no obsolete asset to own afterwards. Which finance fits?
   ✔ **A lease matching the term and expected use**

3. The CFO must finance long-lived workshop equipment but keep overdraft capacity free for daily needs. Strongest principle?
   ✔ **Fund long-term assets with long-term finance**

4. A dealer needs £20,000 for six weeks between buying stock and selling it. Which source of finance fits best?
   ✔ **A bank overdraft**

5. A £60,000 loan is repaid over five years at £1,250 a month. What is the total interest paid?
   ✔ **£15,000**

6. An investor offers £150,000 for 30% of a dealership's shares. What value does this put on the whole business?
   ✔ **£500,000**

7. A profitable dealer buys a new ramp from last year's profits rather than borrowing. What is the main advantage?
   ✔ **No interest to pay and no loss of control**

8. A parts supplier lets the dealer pay for a delivery 30 days after receiving it. Which source of finance is this?
   ✔ **Trade credit**